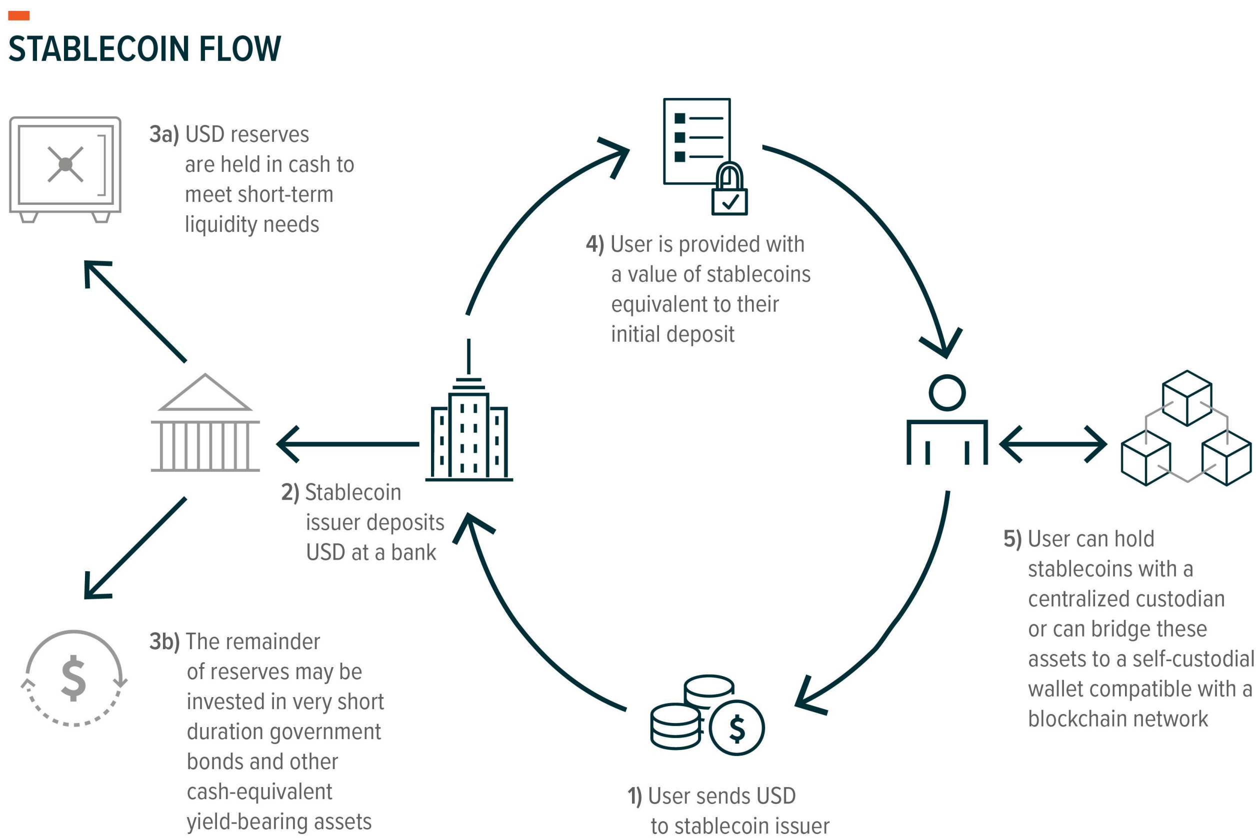
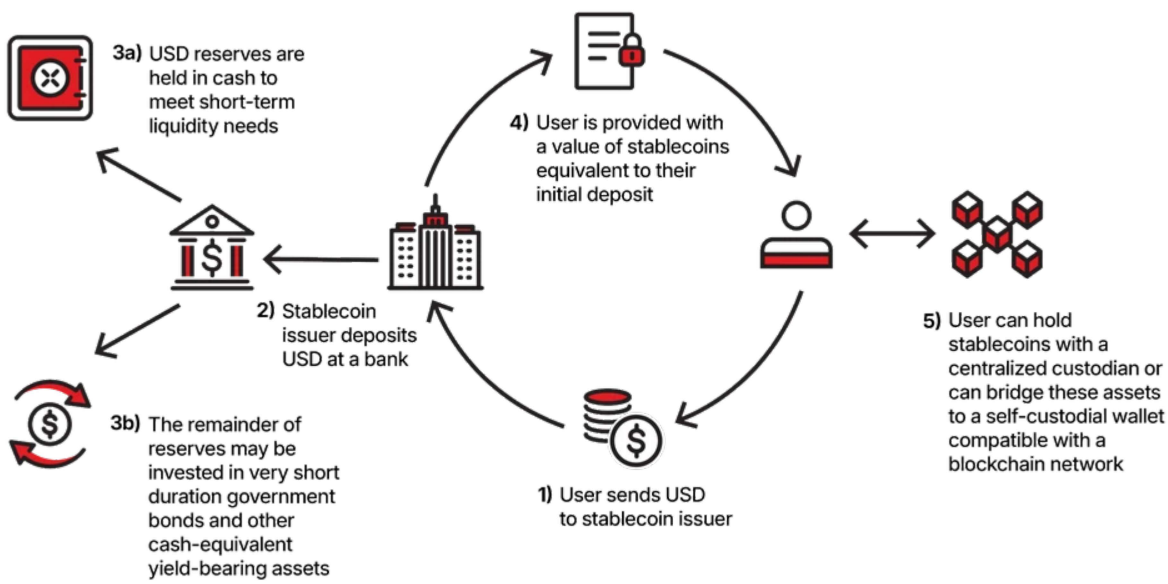
Stablecoins for a Business: How They Work, Why They Matter, and Where Things Can Collapse



STABLECOIN FLOW



1. What a Stablecoin Really Is (Business Perspective)

A stablecoin is **a liability,** a digital representation of a claim on some underlying asset and the issuer is **running a miniature, real-time, always-open money market fund**.

When a business issues a stablecoin:

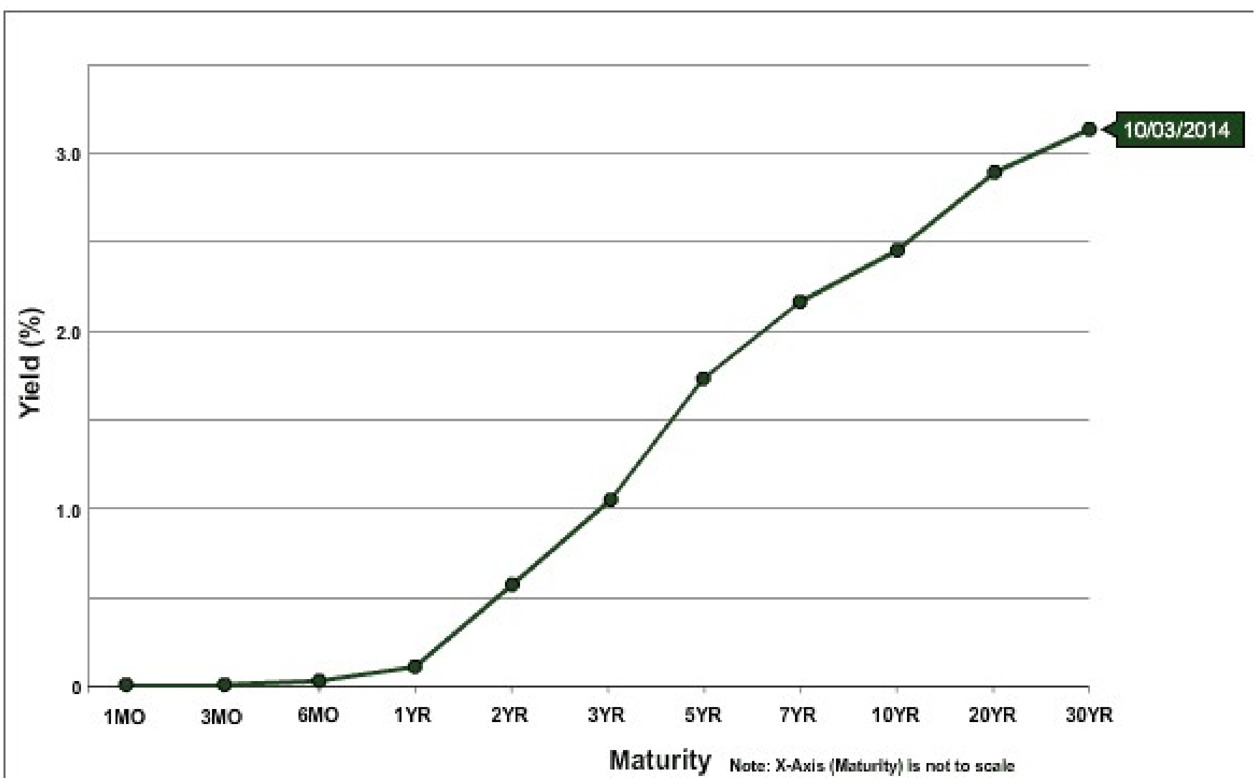
- Every token = **a redeemable IOU**
- The issuer must hold **1:1 reserves** of assets backing those IOUs
- Users can mint (deposit → coins)
- Users can redeem (coins → assets)

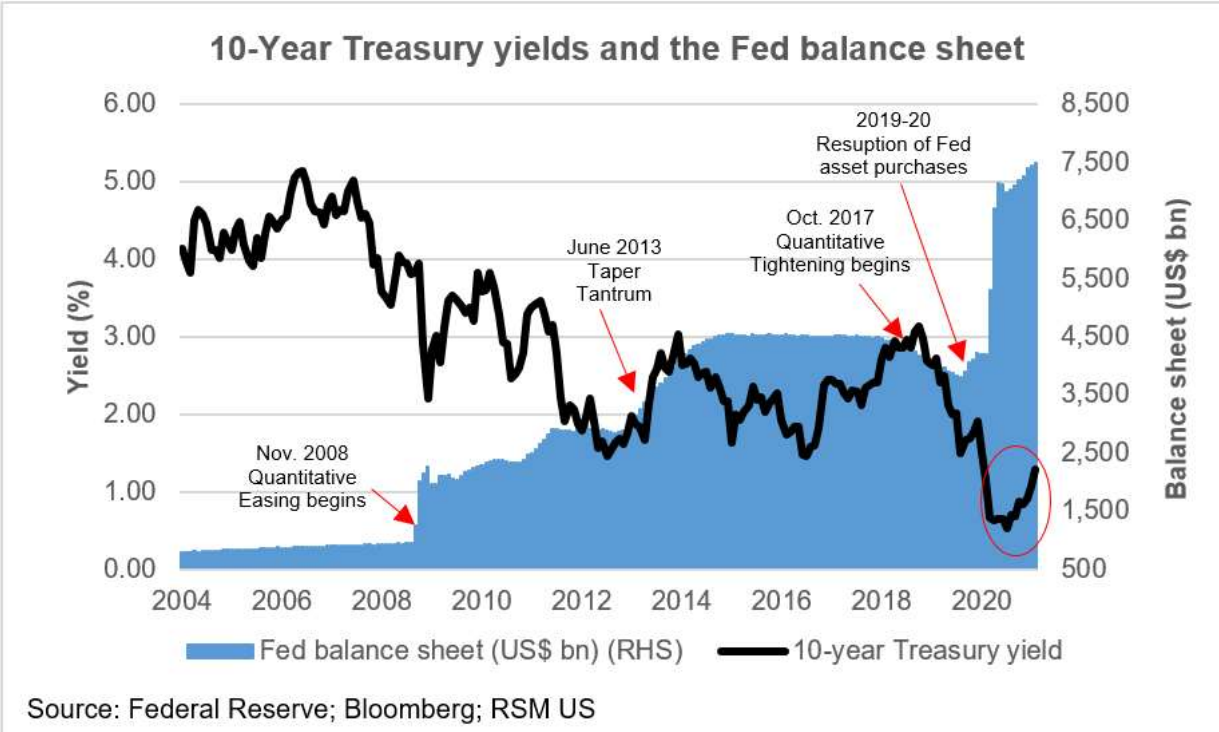
To survive, the issuer must always maintain:
solvency, **liquidity**, and **trust**.

Stablecoins are essentially:

- A payments rail
- A liquidity layer
- A treasury-management product
- A synthetic version of a money market fund with instant settlement

2. Backing With U.S. Treasuries: Why Businesses Do It





✔ **Pros**

2.1 High Safety

U.S. Treasury Bills (1–12 months) =

- Lowest counterparty risk in the world
- Extremely liquid market
- Protected from bank failure

2.2 Yield Capture

Unlike cash (0–0.5% return), treasuries yield **4–5%+**.
This yield becomes **profit margin** for the issuer.

USDT + USDC make billions per year purely from interest.

2.3 Regulatory Approval

Treasury-backed stablecoins align with:

- SEC classifications
- MiCA requirements
- U.S. coming legislation for “payment stablecoins”

2.4 Market Confidence

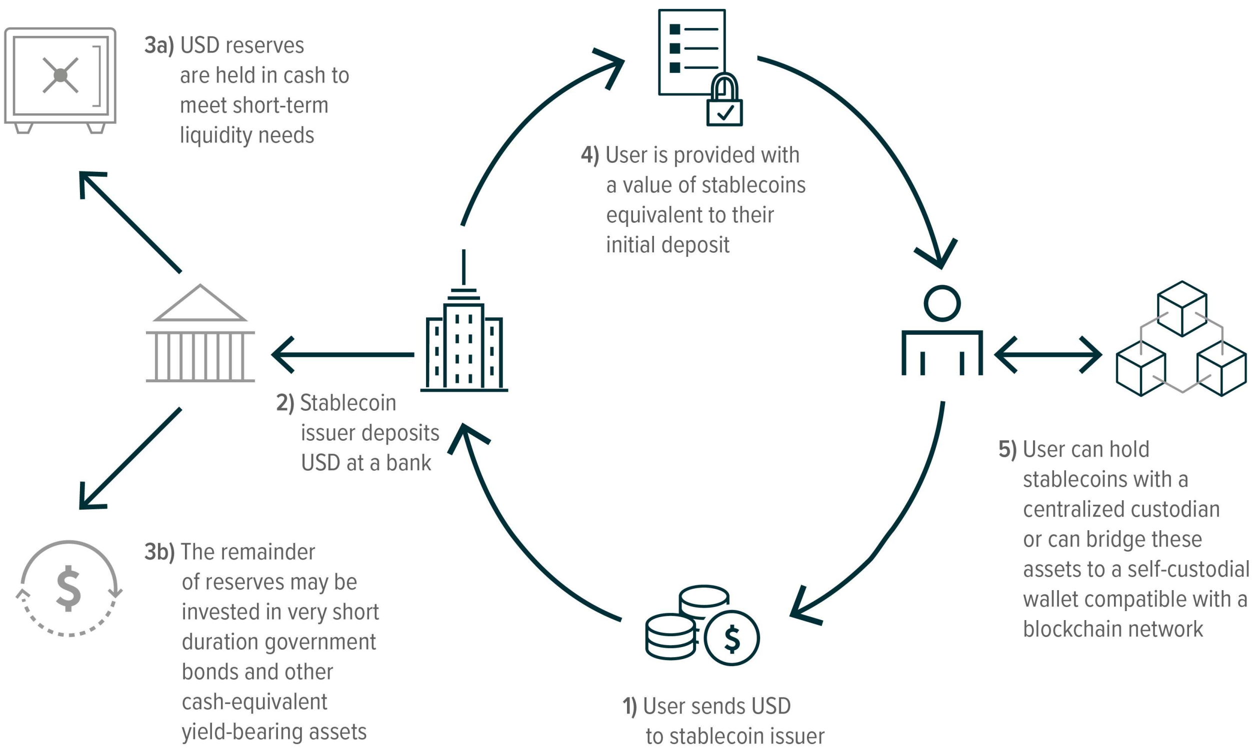
Institutions trust stablecoins more when backed by:

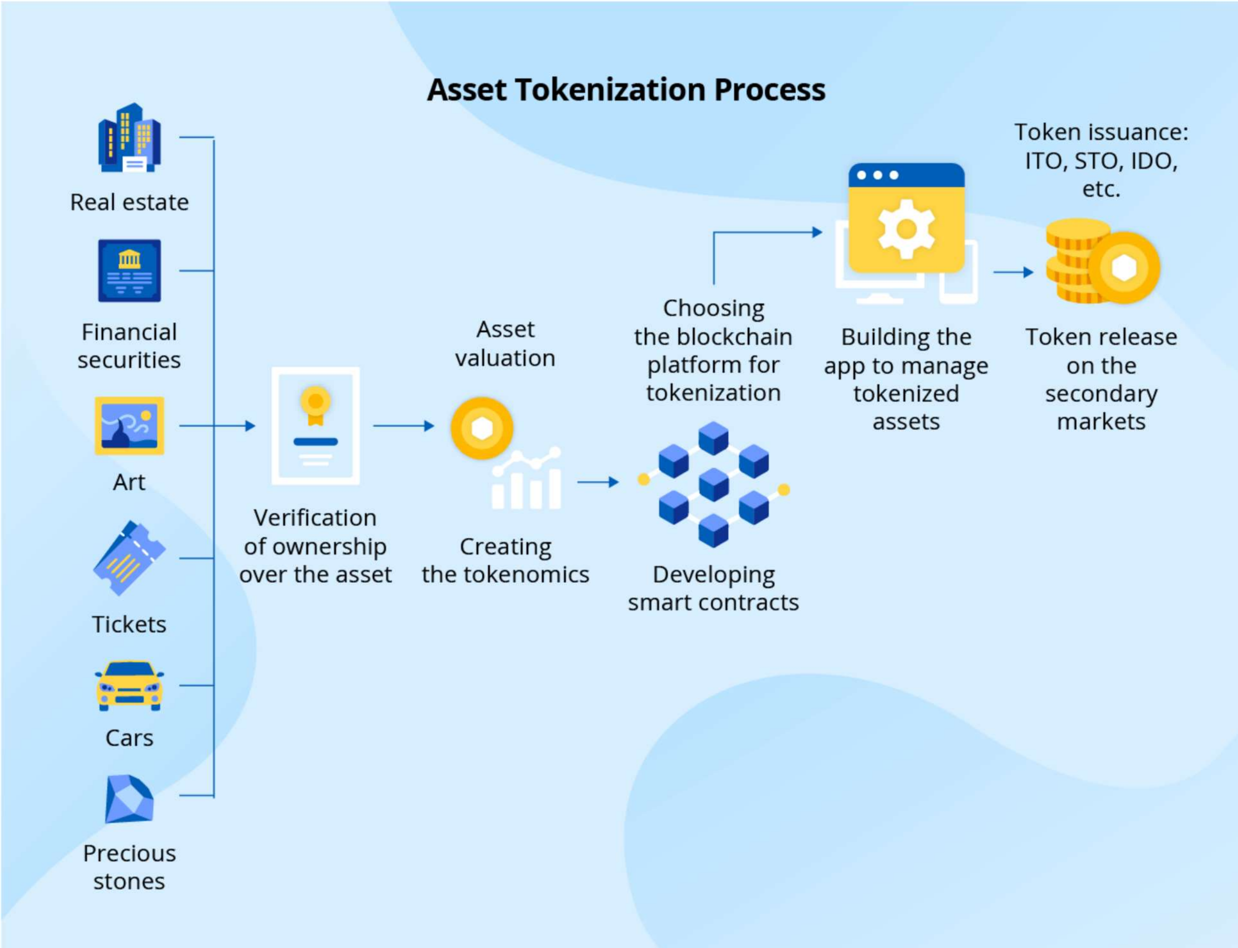
- Bills
- Overnight repos
- Cash equivalents

This reduces redemption risk.

3. Backing With Other Asset Classes: Pros & Dangers

STABLECOIN FLOW





3.1 Cash & Cash Equivalents

Pros:

- Instant liquidity
- Zero fluctuation

Cons:

- Low yield
- High counterparty risk if held in commercial banks

3.2 Corporate Bonds / Commercial Paper

(*This is where USDT used to get criticized.*)

Pros:

- Higher yield

Cons:

- Liquidity dries up in crisis
- Higher default risk
- Can trigger bank-run-like redemptions

3.3 Tokenized Assets (RWA)

Examples:

- Tokenized treasuries (e.g., BUIDL, OSTB)
- Tokenized real estate
- Tokenized credit portfolios

Pros:

- Programmable
- Composable inside DeFi
- Can be fractionalized

Cons:

- Smart contract risk

- Redemption waterfall design is complex
- Sometimes regulatory gray zone

3.4 Crypto Assets as Collateral

(DAI’s old model)

Pros:

- On-chain, trustless, transparent
- No banking risk

Cons:

- Volatile
- Requires overcollateralization (120–180%)
- Can collapse (Terra/LUNA territory)

4. The Real Danger: Off-Chain Redemption Depletion

This is the concept you mentioned and it’s the **single biggest existential threat** to any fiat-backed stablecoin issuer.

Let me break down the problem deeply.

4.1 What Is “Off-Chain Redemptive Drain”?

A stablecoin is redeemed **off-chain** when a customer sends tokens back to the issuer and requests fiat (or treasuries).

This is **not** the same as:

- On-chain swaps
- AMM pool movement
- DEX arbitrage

A business WITHOUT redemption controls is exposed to:

The “emptying the vault” attack vector.

Imagine:

1. You issue 100M stablecoins backed by 100M in treasuries
2. They circulate in DeFi, CEXs, OTC
3. Large traders redeem them **faster than you can unwind treasury positions**
4. You are forced to liquidate assets at a bad price or at a loss
5. If liquidity isn’t perfect, *you can become insolvent while still being solvent on paper*

This is the **Terra/UST → not backed** scenario
or the **USDC 2023 Silicon Valley Bank freeze → temporarily impaired liquidity** scenario.

4.2 The Competition Angle You Mentioned: "Draining Your Stablecoin Fund"

Here's the hidden business reality:

If you issue a stablecoin backed by yield-bearing assets…

competitors can redeem your stablecoin faster than you can liquidate your positions, forcing you to burn your reserves while they repurchase discounted coins elsewhere.

It becomes:

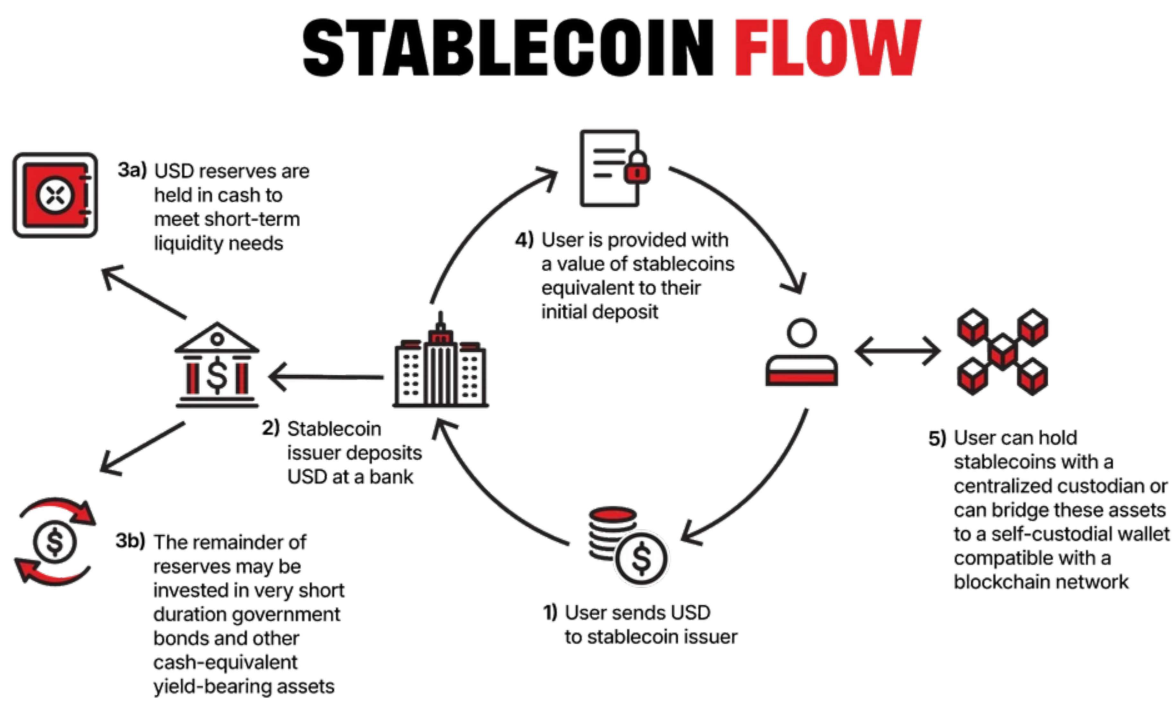
a hostile redemption arbitrage

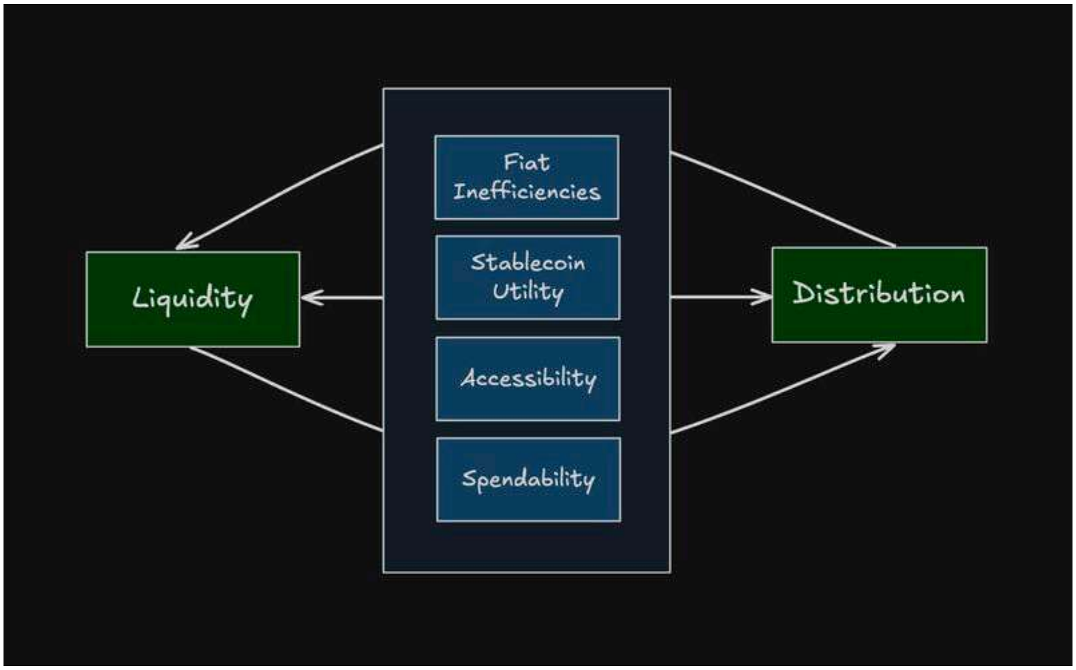
1. Competitors acquire your stablecoin on-chain (cheaply from liquidity pools)
2. Redeem off-chain for $1
3. You must cash out treasury positions instantly
4. Yields drop, liquidity premiums rise
5. They repeat the cycle until your assets are strained

This is how hedge funds attacked currency pegs (Soros vs. Bank of England).

Stablecoins are **micro-currency pegs** with the same vulnerabilities.

5. Why You Need a Management Mechanism (Critical)





A successful stablecoin must implement:

5.1 Redemption Throttling

- Daily limits
- Tiered KYC levels
- Institutional redemption windows
- Push/pull settlement timing

This prevents manipulation.

5.2 Liquidity Bucketing

You need **3 layers of reserves**:

Tier 1 (Hot Liquidity – 5–10%)

- Cash, reverse repo

- Instant redemption liquidity

Tier 2 (Warm Liquidity – 60–75%)

- Short duration treasuries (1–3 month)
- Liquid but not instant

Tier 3 (Cold Liquidity – 10–20%)

- Longer bonds, RWAs, tokenized credit
- Yield engines

This prevents fire-selling assets during stress.

5.3 On-Chain Stabilization

Your dynamic liquidity concept (Goji style) applies here:

- If redemption pressure spikes
- Smart contracts automatically reweight liquidity tiers
- AMMs adjust exposure to reduce attack vectors
- Yield buckets are automated

This gives your stablecoin **anti-bank-run properties.**

5.4 Circuit Breakers

Redemptions pause when:

- Treasury bids widen
- Repo markets freeze
- Extreme volatility
- On-chain pools detect manipulation
- Funding rates invert on CEXs

You mirror traditional finance's behavior.

5.5 Off-Chain Settlement Queue

This is essential.

Redemptions must settle **in batches**, not instantly or individually.

This prevents high-frequency redemption attacks.

6. The Business Reality: Stablecoins Are Currency Wars

Once you issue a stablecoin, you are competing against:

- USDT
- USDC
- BUSD (RIP)
- PYUSD

- Dai
- New RWA stablecoins
- Foreign CBDCs

They all defend their peg differently.
Only the strongest governance survives.

The formula is:

Stability = Assets + Liquidity + Redemption Controls + Governance + Transparency

If any component fails → the peg breaks.

7. Final Summary (Clean & Powerful)

A business issuing a stablecoin must understand:

✔ Treasury-backed stablecoins create massive yield

✔ But they turn your company into a real-time money market fund

✔ Redemption risk is the biggest existential threat

✔ Competitors can drain your reserves via off-chain arbitrage

✔ You must design:

- Liquidity buckets
- Redemption limits
- Circuit breakers
- Treasury unwinding schedules
- On-chain market protections
- A dynamic liquidity algorithm (your Goji thesis fits perfectly here)

Without these mechanisms, you are essentially running:

a bank without capital controls, a fund without redemption windows,
and a currency without a central bank—open 24/7 to global arbitrage.